COURSE

Cambridge IGCSE Business (0450 / 0264)

External environment

6 External influences on business activity · 6.1 Economic issues

Revision for 6 External influences on business activity: each firm works it out on its own deals.

Class	Topic
Cambridge IGCSE Business (0450 / 0264)	**External environment**

THE LESSON

Setup — 3 min

Round 1 — Decisions 3 min · Deals 5 min · Topic tasks 4 min

Firm decisions	**Deals**	TASK 1 **Rates and car sales**	TASK 2 **Unemployment rises**

Round 2 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min

Firm decisions	**Deals**	TASK 3 **Rate rise effects**	TASK 4 **Loan interest rise**	**B2B deal**

Round 3 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min

Firm decisions	**Deals**	TASK 5 **Pound falls: effect**	TASK 6 **Staff real income**	**B2B deal**

Final questions — 3 min

Fits a 30-minute lesson setting; longer settings add more deals.

Each step

Firm decisions	Each role makes its decision on its own page.
Deals	Each pupil trades with a classmate in another firm.
Topic task	The firm answers together. Everyone presses Agree.
B2B deal	One firm sells a lot of cars to another firm.
Final questions	Each pupil answers six questions.

Firm decisions

CEO	**Staff**	Hire staff. Each costs a salary and gives one benefit.
	Sabotage FROM ROUND 2	Hit a rival firm's cash, at a cost. A Legal Counsel blocks it.
Sales & Marketing	**Marketing**	Book one advert campaign to lift the next sales.
Finance	**Capital & Loans**	Borrow cash. The firm pays it back with interest.
	Investments FROM ROUND 2	Buy property or funds. The value can rise or fall.
Operations	**Seasonal stock**	Order the season's cars in advance.

B2B deal · Rounds 2 and 3

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

Topic tasks

Each firm gets its own figures. The method is the same for every firm.

Task 1

ROUND 1

Interest rates rise. Many of your buyers pay for their cars with a loan.

What is the most likely effect on your sales?

PICK ONE

- ○ No change: buyers need cars
- ✔ **Sales fall as loans cost more**
- ○ Sales rise as prices fall
- ○ Sales rise as savers earn more

Why: Higher interest makes loans dearer, so fewer people buy on credit.

Task 2

ROUND 1

Unemployment in your area rises sharply.

Which two effects on your firm are most likely?

PICK TWO

- ○ Banks lend more freely
- ✔ **Fewer buyers for new cars**
- ○ Higher wages to keep staff
- ✔ **More buyers want cheaper cars**
- ○ More buyers want premium models

Why: Less income means fewer big purchases, and buyers trade down.

Task 3

ROUND 2

The Bank of England raises interest rates.

Put the effects in order, first to last?

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **Car loans cost more each month**
2. **Fewer people buy on credit**
3. **Your sales fall**
4. **You order fewer cars**

Why: Dearer loans, fewer buyers, lower sales, so you buy less stock.

Task 4

ROUND 2

Interest rates rise. Your stock loan's rate follows.

Rise in the interest a year?

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

Stock loan	**£20,000**
Interest a year, before	**7%**
Interest a year, now	**10%**

METHOD

Rise = loan × (interest now – interest before)

£20,000 × (10% − 7%) = £600

Why: Higher rates raise the cost of your own borrowing too.

Task 5

ROUND 3

The pound falls sharply against the euro. You buy your cars from Germany and sell them in the UK.

What should you expect, and why?

PICK A OR B AND GIVE A REASON

- ✔ **Higher costs, lower profit per car**
- ○ Lower costs, higher profit per car

Why: A weaker pound buys fewer euros, so imports cost more in pounds.

Task 6

ROUND 3

Prices in the shops rise 8% this year. Your staff get a 3% pay rise.

What happens to their real income?

PICK ONE

- ✔ **It falls by about 5%**
- ○ It rises by about 11%
- ○ It rises by about 3%
- ○ It stays the same

Why: Pay rises more slowly than prices, so it buys about 5% less.

Final questions

6
questions for each pupil

159
Level 2 Business questions

10
of them on external environment

The game draws 6 of the 159 Level 2 questions; these 10 are about external environment.

1 How is a rise in interest rates most likely to affect a dealership with a variable-rate loan?
Interest payments may rise, raising costs.

2 Unemployment rises sharply in the local area. What is one likely effect on a dealership selling mainly to local households?
Demand may fall as households have less income.

3 Why must a motor retailer consider employment law when recruiting staff?
It must treat applicants fairly and lawfully.

4 Consumer confidence rises and more households feel secure about major purchases. What may happen to demand for cars?
Demand is likely to rise.

5 Local unemployment rises: more technicians apply, but demand for premium servicing weakens. Which response is most balanced?
Recruit needed skills and update forecasts for weaker demand.

6 A recession reduces household spending on premium cars. Which response is most appropriate?
Review stock and offer better value.

7 A new safety rule applies to workshop equipment. What should the business do?
Check compliance, update equipment, train staff.

Final questions

8 The pound weakens, so an imported component costs more in sterling. What is the likely effect on a UK workshop?

Its input cost may rise, cutting margin.

9 Why should the CEO monitor economic, technological and legal changes?

They can change demand and costs.

10 In a recession the economy shrinks, unemployment rises and people spend less. A dealer sells new cars and repairs. Using this description, what should it expect?

New car sales fall more than repairs; old cars stay running.